

STANDARD OPERATING PROCEDURE

Vendor Invoice Processing and Approval

Document Reference	SOP-FIN-003
Version	3.1
Effective Date	15 January 2025
Review Date	15 January 2026
Owner	Accounts Payable, Finance Department
Approved By	Chief Financial Officer
Classification	Internal Use Only — Finance Restricted
Applicable To	All vendor invoices received by the organisation regardless of value or currency

1. Purpose

This Standard Operating Procedure defines the end-to-end process for receiving, validating, approving, and paying vendor invoices. It establishes controls to ensure that all payments are accurate, authorised, compliant with contractual terms, and recorded correctly in the general ledger. This procedure supports the organisation's Procure-to-Pay cycle and must be read in conjunction with the Purchasing Policy (POL-FIN-001).

2. Scope

This procedure applies to all vendor invoices received by the organisation, including:

- Goods and services purchased under approved Purchase Orders (PO-backed invoices)
- Non-PO invoices for pre-approved recurring services (utilities, subscriptions, leases)
- Credit notes and invoice adjustments
- Foreign currency invoices

This procedure does NOT cover: employee expense reimbursements (refer SOP-FIN-009), inter-company transactions (refer SOP-FIN-014), or payroll processing.

3. Approval Thresholds and Authority Matrix

All invoices must be approved in accordance with the Delegation of Authority (DOA) matrix. The following thresholds apply:

Invoice Value	First Approver	Second Approver	Payment Method
Up to SGD 5,000	Cost Centre Manager	Not required	AP automated payment run

SGD 5,001 – SGD 25,000	Department Head	Not required	AP automated payment run
SGD 25,001 – SGD 100,000	Department Head	Finance Director	Dual-authorised bank transfer
SGD 100,001 – SGD 500,000	Finance Director	CFO	Dual-authorised bank transfer
Above SGD 500,000	CFO	CEO	Board-notified bank transfer

NOTE: Foreign currency invoices must be converted to SGD at the monthly average exchange rate published by the Finance Department on the first business day of each month. The converted SGD value determines the applicable approval threshold.

4. Roles and Responsibilities

Role	Responsibilities
AP Clerk	Receives and registers invoices; performs initial data entry; conducts 3-way match for PO invoices; routes invoices for approval; processes payment runs; files documents.
AP Supervisor	Reviews non-PO invoices above SGD 10,000; resolves matching exceptions; approves payment runs; escalates disputes to Finance Manager.
Cost Centre Manager / Department Head	Approves invoices within DOA limits; confirms goods or services were received; resolves vendor queries related to their cost centre.
Finance Director	Second approver for invoices above SGD 25,000; reviews high-value payment batches; signs off on month-end AP reconciliation.
CFO	Approves invoices above SGD 100,000; co-signs large bank transfers; notifies Board for transactions above SGD 500,000.
Treasury / Banking	Executes approved bank transfers; confirms payment completion; manages FX conversion for foreign currency payments.
Vendor	Submits valid tax invoices to the designated AP email or portal; responds to queries within 5 business days.

5. Invoice Processing Steps

5.1 Invoice Receipt and Registration

All invoices must be submitted to the designated AP inbox (ap@company.com.sg) or the AP supplier portal. Invoices submitted directly to department staff will be redirected to AP and may result in payment delays.

#	Activity	Responsible	System / Action	Timeline
1	Receive invoice via AP email or portal	AP Clerk	Invoice registered in ERP (SAP) within 1 business day of receipt	T+1 day
2	Validate invoice completeness	AP Clerk	Check: vendor name, GST registration, invoice number, date, line items, totals, bank details. Reject incomplete invoices back to vendor with written explanation.	T+1 day
3	Duplicate check	AP Clerk / ERP	ERP auto-checks for duplicate invoice number + vendor combination. Manual review if flagged.	T+1 day
4	Determine invoice type	AP Clerk	Decision: PO-backed or Non-PO. Route accordingly (see Sections 5.2 and 5.3).	T+1 day

5.2 PO-Backed Invoice Processing (3-Way Match)

A 3-way match compares: (1) the Purchase Order, (2) the Goods Receipt / Service Confirmation, and (3) the vendor invoice. All three must align within tolerance before payment can proceed.

#	Activity	Responsible	System / Action	Timeline
5	Retrieve matching Purchase Order	AP Clerk / ERP	PO located in SAP; confirm PO is open and not fully invoiced	T+1 day
6	Confirm Goods Receipt or Service Confirmation	AP Clerk	GR/SES document verified in SAP. If no GR exists, contact requestor to confirm delivery before proceeding.	T+2 days
7	Perform 3-way match in ERP	AP Clerk / SAP	Quantity and price variances within 3% or SGD 50 (whichever is lower) auto-approved. Variances above tolerance routed to exception handling (see Section 6.1).	T+2 days
8	Post invoice in ERP	AP Clerk	Invoice posted to correct cost centre, GL account, and profit centre. GST input tax coded correctly.	T+2 days
9	Route for approver sign-off (if above SGD 5,000)	ERP workflow	Automatic routing to approver via SAP workflow. Approver receives email notification.	T+2 days

10	Approver reviews and approves or rejects	Cost Centre Manager / Dept Head	Approved: invoice released to payment run. Rejected: returned to AP with written reason.	T+3 days
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5.3 Non-PO Invoice Processing

Non-PO invoices require explicit approval from the budget holder before posting. These invoices do not have a matching PO and therefore require additional scrutiny.

#	Activity	Responsible	System / Action	Timeline
5	Identify budget owner / cost centre	AP Clerk	Use vendor master and GL account reference to identify correct approver	T+1 day
6	Send invoice to budget owner for approval	AP Clerk	Invoice sent via SAP workflow with budget remaining balance shown. Approver must confirm: service received, cost centre correct, not a duplicate.	T+2 days
7	Budget owner approves or rejects	Cost Centre Manager	Approved: AP proceeds to post. Rejected: AP contacts vendor to dispute or seek credit note.	T+4 days
8	AP Supervisor review (if above SGD 10,000)	AP Supervisor	Supervisor verifies vendor contract or standing order exists before posting	T+4 days
9	Post invoice in ERP	AP Clerk	Invoice posted per GL coding provided by approver. GST coded correctly.	T+4 days

5.4 Payment Processing

#	Activity	Responsible	System / Action	Timeline
11	Invoice included in weekly payment run	AP Clerk	Payment runs processed every Tuesday and Friday. Invoices approved by 3pm the prior business day are included.	Weekly
12	AP Supervisor reviews payment batch	AP Supervisor	Batch reviewed for anomalies: new bank accounts, round-number payments, first-time vendors, amounts above usual patterns.	Day of run

13	Finance Director / CFO dual authorisation (high value)	Finance Director + CFO	For payments above SGD 25,000: dual authorisation required in banking portal. Both approvers must log in independently.	Day of run
14	Bank executes payment	Treasury / Bank	Payment transmitted; bank confirmation received and attached to invoice record in SAP	Day of run
15	Mark invoice as paid in ERP	AP Clerk	Invoice status updated to 'Paid' in SAP; payment reference number recorded	Day of run
16	Remittance advice sent to vendor	AP Clerk / ERP	Automated remittance sent to vendor email on file. Includes invoice number, amount paid, and payment date.	Day of run

6. Exception Handling

6.1 3-Way Match Variance

If the 3-way match produces a variance above tolerance (more than 3% or SGD 50):

1. AP Clerk places the invoice on hold in SAP and notifies the requestor and vendor within 1 business day.
2. Requestor confirms whether the variance is due to: price change, quantity difference, or data entry error.
3. If price change: Purchasing must issue a PO amendment before the invoice can be processed.
4. If quantity difference: A credit note must be obtained from the vendor for the excess amount.
5. If data entry error: AP Clerk corrects and reprocesses.
6. Maximum resolution time: 10 business days. If unresolved, AP Supervisor escalates to Finance Manager.

6.2 Duplicate Invoice

If a duplicate invoice is detected:

7. AP Clerk places the duplicate on hold and contacts the vendor to confirm.
8. If confirmed duplicate: vendor is notified and invoice is rejected in SAP. No payment is made.
9. If vendor disputes the duplicate flag: AP Supervisor reviews payment history and makes determination within 3 business days.
10. All duplicate incidents are logged in the Duplicate Invoice Register (maintained by AP Supervisor) for quarterly audit review.

6.3 Disputed Invoice

If the budget owner or AP disputes the validity of an invoice:

11. AP Clerk notifies the vendor in writing within 5 business days of receipt, stating the specific reason for the dispute.
12. The invoice is placed on hold in SAP. Payment terms are suspended from the date of written dispute.
13. If the dispute is resolved: AP processes the agreed amount. A credit note is obtained for any reduction.
14. If the dispute cannot be resolved within 30 calendar days: Finance Manager involves Legal for review.

6.4 Urgent / Off-Cycle Payments

Urgent payments outside the standard Tuesday/Friday payment run require CFO approval and must be logged in the Off-Cycle Payment Register. Requests must be submitted by 11am on the day of the required payment.

To request an urgent payment:

15. Budget owner emails ap@company.com.sg and cfo@company.com.sg with: invoice copy, business justification, and consequence of non-payment.
16. CFO approves or declines within 2 hours.
17. If approved: AP processes as a manual bank transfer. Finance Director co-signs as per DOA.
18. Off-cycle payment is logged in the register with reason code and CFO approval reference.

7. Month-End and Year-End Requirements

The following additional steps apply at month-end (last 3 business days of each month):

- All invoices received by the 25th of the month must be processed and posted before month-end close.
- Accruals must be raised in SAP for goods or services received but not yet invoiced (GR/NI accounts).
- AP ageing report is reviewed by AP Supervisor; invoices overdue beyond payment terms are escalated.
- AP balance is reconciled to the General Ledger by Finance by the 3rd business day of the following month.

At year-end (31 December):

- All invoices dated in the current fiscal year must be posted by the 5th January cutoff.
- Vendor statement reconciliations are completed for all vendors with annual spend above SGD 50,000.

- External auditors may request invoice samples as part of the annual audit. All requested documents must be provided within 2 business days.

8. Systems and Tools

System	Purpose	Primary Users
SAP S/4HANA	Core ERP for invoice posting, 3-way match, payment run, GL coding	AP Clerk, AP Supervisor, Finance
SAP Workflow / SRM	Electronic approval routing, notification, and audit trail	All approvers
AP Supplier Portal	Vendor invoice submission, status tracking, remittance download	Vendors, AP Clerk
Banking Portal (DBS IDEAL)	Payment authorisation, dual sign-off, FX conversion	Treasury, Finance Director, CFO
SharePoint	Document storage for invoice images, contracts, approval records	AP Clerk, AP Supervisor
Power BI	AP dashboards: ageing, payment run, exception tracking	AP Supervisor, Finance Manager

9. Key Controls and Audit Points

The following controls are subject to internal and external audit review. Any bypass or override of these controls must be documented and approved by the CFO.

- Segregation of duties: The person who posts an invoice must not be the same person who approves the payment run.
- Dual authorisation: All payments above SGD 25,000 require two independent approvers in the banking system.
- Vendor master changes: Any change to vendor bank account details requires verification by a second AP staff member and notification to the vendor via registered contact on file.
- New vendor creation: New vendors must be approved by Finance Manager and require supporting documentation (business registration, bank letter).
- Audit trail: SAP records all posting, approval, and payment actions with user ID and timestamp. This log is immutable and available for audit at all times.
- Exception log: All 3-way match variances, duplicates, disputes, and off-cycle payments are logged and reviewed by AP Supervisor monthly.

10. Key Performance Indicators

- Invoice processing cycle time: Average time from invoice receipt to payment posting not to exceed 12 business days for standard invoices.
- First-pass match rate: Minimum 85% of PO-backed invoices to pass 3-way match without exception on first attempt.
- On-time payment rate: Minimum 95% of invoices paid within agreed vendor payment terms.
- Duplicate invoice rate: Less than 0.5% of monthly invoice volume identified as duplicate.
- Month-end close: AP subledger reconciled within 3 business days of month-end.
- Overdue invoices: Zero invoices outstanding beyond 90 days without documented dispute or escalation.

11. Related Documents

- POL-FIN-001: Purchasing and Procurement Policy
- SOP-FIN-001: Purchase Order Creation and Management
- SOP-FIN-009: Employee Expense Reimbursement
- SOP-FIN-014: Inter-Company Transaction Processing
- DOA-001: Delegation of Authority Matrix
- Appendix A: Invoice Rejection Reasons and Templates
- Appendix B: Off-Cycle Payment Request Form
- Appendix C: Vendor Master Change Request Form

12. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	01 Apr 2019	R. Chen, Finance Manager	Initial release
2.0	15 Feb 2021	R. Chen, Finance Manager	Added SGD thresholds; introduced SAP S/4HANA workflow references; updated DOA to current
3.0	10 Aug 2023	S. Raj, AP Supervisor	Added supplier portal; introduced Power BI dashboard references; expanded exception handling section
3.1	15 Jan 2025	S. Raj, AP Supervisor	Added off-cycle payment register; updated banking portal to DBS IDEAL; clarified FX conversion rule